Amazon.com, Inc.

AMZN NASDAQ

Buy	$254.21 ▲ 2.06%	12M Price Target	52-Week Range	Market Cap
		$295.00	$196.00 – $287.20	$2.74T

AMZN: Bouncing Back as Cloud + Holiday Setup Firms Up

WHAT HAPPENED

- Stock popped 2% today on light volume (~17M shares vs usual 30M+) — that's a quiet grind higher, not a frenzy. Translation: buyers are stepping in but nobody's panicking either way. Classic "calm before earnings" setup, and AMZN reports Q3 later this week.
- The options market is screaming bullish — put/call ratio of 0.33 means traders are buying 3x more upside bets than downside bets. Big unusual call buying at $247.50 and $250 strikes suggests smart money is positioning for an earnings pop.

WHY IT MATTERS

Here's what I think is happening: the stock sold off from $262 to $248 last week (that's a ~5% drawdown) and is now stabilizing right as earnings approach. The options flow tells me institutions are quietly loading up — they rarely pay up for near-dated calls unless they have conviction. The bigger picture: with the Trump administration dialing back FTC antitrust pressure on Big Tech (vs. the Khan-era crackdown), Amazon's regulatory overhang is lighter than it's been in years. That alone justifies a higher multiple. Watch for AWS growth numbers — if they print anything above 18%, this thing runs to $270+ quickly.

POLICY & POLITICAL WATCH

Two things to watch: (1) The administration's AI infrastructure push — hyperscalers like AMZN, MSFT, and GOOGL are the direct beneficiaries of federal AI buildout spending and permitting fast-tracks for data centers. (2) Tariff policy on Chinese goods is the lingering headwind — a huge chunk of third-party seller merchandise on Amazon.com originates in China, so any new tariff escalation squeezes retail margins (though AWS, which is where the profits really come from, is immune). Net-net: policy environment is friendlier than it was 12 months ago.

IS IT EXPENSIVE?

At ~37x forward earnings, you're paying $37 for every $1 of profit Amazon makes next year — not cheap, but reasonable given AWS is still growing ~17% and the ads business is a stealth $60B+ cash machine. Compared to Microsoft at ~33x and Google at ~22x, AMZN sits in the middle. Fair, not a bargain — but if AWS reaccelerates, that multiple expands fast.

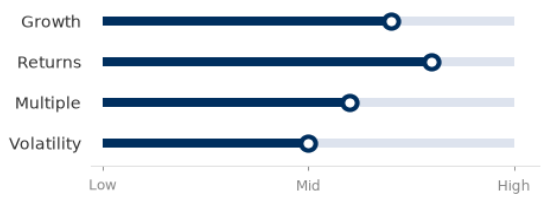
WHAT COULD GO WRONG

- Earnings miss this week — if AWS growth disappoints or holiday guidance is weak, the stock drops 8-10% quickly. The options market is priced for a move.

Key Data

Price (USD)	**$254.21**
12M Price Target	**$295.00**
Upside / (Downside)	**+16.0%**
Market Cap	**$2.74T**
FY2026E Revenue	**$712M**
FY2027E Revenue	**$785M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**37.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | October 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$275.00**	$262.00	**$240.00**
6 Months	**$310.00**	$280.00	**$230.00**
1 Year	**$335.00**	$295.00	**$220.00**
2 Years	**$400.00**	$340.00	**$210.00**
5 Years	**$575.00**	$450.00	**$250.00**
10 Years	**$900.00**	$650.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.64% today, +2.12% this week) is leading — money is flowing back into mega-cap tech ahead of earnings season. The softer antitrust stance from DC is removing a key overhang.

COOLING OFF: Communication Services is down 5.8% over 5 days — that's a brutal rotation out of names like META and GOOGL, likely on AI capex fears. Watch if this spreads to AMZN.

ROTATION WATCH: Money is moving from Comm Services into pure Tech — investors want AI infrastructure (chips, cloud) over AI applications right now. AMZN benefits because AWS is the picks-and-shovels play.

RELATED PLAY: If AMZN rips on AWS strength, the data center and power supply chain follows — think Vertiv (VRT), Eaton (ETN), and the data center REITs like Equinix (EQIX).

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Winning on Azure AI growth and Copilot monetization — the clearest "AI is making money" story in Big Tech.
- NVDA (Nvidia): Still the picks-and-shovels king — every dollar AMZN spends on AI capex flows partly to NVDA.

AMZN CONTEXT: AMZN has been lagging MSFT and NVDA year-to-date but is sitting at 64% of its 52-week range — not stretched, not broken. That's actually a good setup: it means expectations are reasonable going into earnings, so a beat gets rewarded disproportionately.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The setup into earnings is attractive, options flow is bullish, and the policy backdrop is the friendliest it's been in years. Not a 10 only because earnings is binary risk.

POSITION SIZE: 4-6% of portfolio — core holding size. Big enough to matter, small enough that an earnings miss doesn't ruin your week.

ENTRY POINTS: Add on any dip to $245-250. Under $240 would be aggressive-buy territory — that's near the 50-day moving average and where institutional support kicks in.

TIME HORIZON: 12-24 months. Near-term catalyst is this week's earnings; medium-term it's AI monetization showing up in margins.

WHEN TO BAIL: If AWS growth slips below 15%, if the FTC suddenly revives serious antitrust action, or if free cash flow turns negative because capex gets out of control.

HEDGING: Simplest play — buy a put option that expires after earnings as insurance (think of it like paying a small premium so if the stock crashes 10%, you're covered). Costs ~1-2% of your position but lets you sleep.

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